

A statement is sent herewith showing how the amount of the above claim is arrived at, and how the amount of the instalments has been calculated.

Signed

Address

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## CHAPTER 14.

An Act to grant certain Duties of Customs and Inland Revenue (including Excise), to alter other Duties, to amend the Law relating to Customs and Inland Revenue (including Excise) and the National Debt, and to make further provision in connection with Finance. [18th July 1923.]

Most Gracious Sovereign,

**WE**, Your Majesty's most dutiful and loyal subjects the Commons of the United Kingdom of Great Britain and Ireland in Parliament assembled, towards raising the necessary supplies to defray Your Majesty's public expenses, and making an addition to the public revenue, have freely and voluntarily resolved to give and grant unto Your Majesty the several duties hereinafter mentioned; and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

### PART I.

#### CUSTOMS AND EXCISE.

Duty on tea.  
12 & 13  
Geo. 5. c. 17.  
9 & 10 Geo. 5.  
c. 32.

**1.** The duty of customs payable on tea until the first day of August, nineteen hundred and twenty-three, under the Finance Act, 1922, shall, subject to the provisions of section eight of the Finance Act, 1919 (which relates to imperial preferential rates), continue to be charged, levied and paid until the first day of August, nineteen

hundred and twenty-four, on the importation thereof into Great Britain or Northern Ireland, that is to say :—

Tea        -        -        -        the lb., eight pence.

2.—(1) There shall, in respect of beer brewed in Great Britain or Northern Ireland on or after the first day of April, nineteen hundred and twenty-three, be allowed the following rebate from the excise duty payable in respect thereof, that is to say :—

Rebate from  
excise duty  
on beer.

In the case of beer brewed by a brewer of beer for sale, for every thirty-six gallons of beer, of whatever original gravity, charged with duty and delivered from the brewery, a rebate of one pound, or where the duty payable in respect of thirty-six gallons of any beer so charged and delivered is less than two pounds and four shillings, a rebate equal to the amount by which that duty exceeds the sum of one pound and four shillings ;

In the case of beer brewed by any brewer other than a brewer for sale, for every thirty-six gallons of worts of a specific gravity of one thousand and fifty-five degrees charged with duty a rebate of one pound and five shillings ;

and so in proportion for any difference in quantity..

(2) The excise drawback payable on the exportation of any beer, or on the deposit thereof in a warehouse for exportation, from Great Britain or Northern Ireland as merchandise or for use as ships' stores, shall, unless it is shown to the satisfaction of the Commissioners of Customs and Excise that no rebate has been allowed in respect of that beer under this section, be reduced by an amount equal to the amount of the rebate allowable under this section in respect thereof.

This subsection shall be deemed to have had effect as from the first day of April, nineteen hundred and twenty-three.

(3) The Commissioners of Customs and Excise may make such regulations as they consider necessary for the purpose of carrying this section into effect, and in particular for the purpose of facilitating and controlling the calculation of the amount of the rebate to be allowed under this section and with respect to the method of computing the quantity of the beer in respect of which rebate is to be allowed.

(4) If any person acts in contravention of or fails to comply with any regulations made under this section, he shall, for each offence, be liable at the election of the Commissioners of Customs and Excise, either to an excise penalty of one hundred pounds or to an excise penalty equal to three times the amount of the rebate, which through the commission of the offence has been, or might have been, improperly obtained.

Rebate from  
customs  
duty on  
beer.

**3.—(1)** There shall, in respect of beer imported into Great Britain or Northern Ireland, on or after the seventeenth day of April, nineteen hundred and twenty-three, be allowed from the customs duty payable on importation a rebate of one pound for every thirty-six gallons of beer, or, where the duty payable in respect of thirty-six gallons of beer is less than two pounds four shillings and threepence, a rebate equal to the amount by which the duty exceeds the sum of one pound four shillings and threepence.

(2) The customs drawback payable on the exportation or shipment for use as stores of any beer imported into Great Britain or Northern Ireland shall, unless it is shown to the satisfaction of the Commissioners of Customs and Excise that no rebate has been allowed in respect of that beer under this section, be reduced by an amount equal to the amount of the rebate allowable under this section in respect of that beer.

This subsection shall be deemed to have had effect as from the seventeenth day of April, nineteen hundred and twenty-three.

Repeal of  
duty on  
cider.  
6 & 7 Geo. 5.  
c. 11.  
6 & 7 Geo. 5.  
c. 24.

**4.** The excise duty chargeable under section five of the Finance (New Duties) Act, 1916, on cider or perry sold or kept for sale in Great Britain or Northern Ireland, and the customs duty chargeable under section eight of the Finance Act, 1916, on cider and perry imported into Great Britain or Northern Ireland, shall cease to be chargeable as from the first day of May, nineteen hundred and twenty-three.

Reduction of  
duty on cer-  
tain table  
waters.

**5.** As from the first day of May, nineteen hundred and twenty-three, the excise duty now chargeable under section four of the Finance (New Duties) Act, 1916, at the rate of fourpence per gallon on certain table waters sold or kept for sale in Great Britain or Northern Ireland,

shall be charged at the reduced rate of twopence per gallon.

6. The new import duties and the additional customs duties on dried fruits imposed by Part I. of the Finance (No. 2) Act, 1915, shall, subject to the provisions of section eight of the Finance Act, 1919 (which relates to imperial preferential rates), continue to be charged, levied and paid, in the case of the new import duties, until the first day of May, nineteen hundred and twenty-four, and in the case of the duties on dried fruits, until the first day of August, nineteen hundred and twenty-four.

Continuation of customs duties imposed under 5 & 6 Geo. 5. c. 89.

7. The additional duties of excise imposed by section eleven of the Finance (No. 2) Act, 1915, on medicines liable to duty shall continue to be charged, levied and paid until the first day of August, nineteen hundred and twenty-four.

Continuation of increased medicine duties.

8.—(1) If it is proved to the satisfaction of the Commissioners of Customs and Excise that any roasted coffee in respect of which the duties of customs payable thereon have been duly paid has been used in Great Britain or Northern Ireland in the manufacture or preparation of any goods exported or shipped for use as stores, there shall, subject to such conditions as the Commissioners may prescribe, be allowed in respect of the quantity of roasted coffee which appears to the satisfaction of the Treasury to have been used in the manufacture or preparation of the goods a drawback equal to the drawback which would be payable upon the exportation of the same quantity of roasted coffee.

Drawback on manufactured coffee for export.

(2) This section shall apply to roasted chicory and to mixtures of roasted coffee and roasted chicory as it applies to roasted coffee, with the substitution of the words "duties of customs or excise" for the words "duties of customs."

(3) In allowing drawback under this section the said Commissioners may, with the assent of the Treasury, relax in the case of any goods any requirements of sections one hundred and four and one hundred and six of the Customs Consolidation Act, 1876, as to the giving of security and the examination of goods.

39 & 40 Vict. c. 36.

Amendment  
of s. 12 of  
Finance  
Act, 1922.

**9.** Section twelve of the Finance Act, 1922, which reduces the duties to be charged on certain negative cinematograph films, shall have effect as though for the condition requiring all the principal actors and artists employed for the production of a film to be British subjects and domiciled in Great Britain or Northern Ireland there were substituted a condition requiring all such principal actors and artists, except five, or if the total number of the principal actors and artists is less than twenty not less than three-quarters of the principal actors and artists to be British subjects and domiciled as aforesaid, and for the purposes of the said section twelve, as amended by this section, the expression "artists" shall include the person working the photographic camera by means of which the pictures composing the film are taken.

Six-wheeled  
vehicles.

**10.—(1)** Where a vehicle is used in combination with a trailer which has not more than two wheels in contact with the ground, and is so constructed and by partial superimposition so attached to the vehicle that at all time the weight on the rear axle of the vehicle exceed the weight of the axle of the trailer the vehicle and trailer shall, for the purpose of determining the rate of duty chargeable under the Second Schedule to the Finance Act, 1920, but not for any other purpose, be treated as if it were a single vehicle used for drawing a trailer.

10 & 11  
Geo. 5. c. 18.

**(2)** This section shall come into operation on the first day of January, nineteen hundred and twenty-four.

Relief from  
entertain-  
ments duty.

**11.—(1)** Entertainments duty within the meaning of section one of the Finance (New Duties) Act, 1916, as amended by any subsequent enactment, shall not be charged on payments for admission to an entertainment as respects which it is proved to the satisfaction of the Commissioners of Customs and Excise—

**(a)** that the entertainment is provided by a society which is not established or conducted for profit; and

**(b)** that the society by which the entertainment is provided is a society established solely or partly either—

**(i)** for the purpose of promoting the interest of any industry; or

(ii) for the purpose of promoting graphic art, sculpture, or arts craftsmanship; or

(iii) for the purpose of promoting the public health; and

(c) that the entertainment consists solely—

(i) in the case of a society of the description mentioned in paragraph (b) (i) of this subsection, of an exhibition of the products of the industry for promoting the interest of which the society exists, or of materials, machinery, appliances, or foodstuffs used in the production of those products, or displays of skill by workers in the industry in work pertaining to the industry; or

(ii) in the case of a society of the description mentioned in paragraph (b) (ii) of this subsection, of an exhibition of works of graphic art, sculpture, and arts craftsmanship, or of one or more of such classes of works, executed and exhibited by persons who practice graphic art, sculpture, or arts craftsmanship for profit and as their main occupation, or of displays of skill by such persons in such arts or crafts; or

(iii) in the case of a society of the description mentioned in paragraph (b) (iii) of this subsection, of an exhibition of articles or displays of skill which are of material interest in connection with questions relating to the public health;

or consists solely of such exhibitions or displays of skill together with a performance of music by a band.

(2) In this section—

The expression “society” includes a company, institution, or other association of persons by whatever name called;

The expression “industry” includes a branch of an industry and includes agriculture;

The expression “agriculture” includes horticulture and live stock breeding;

The expression “live stock” includes animals of any description.

Relief from entertainments duty in respect of school entertainments.

**12.** Notwithstanding that any of the persons taking part as performers in the entertainment are persons of the age of eighteen or upwards, entertainments duty within the meaning of the Finance (New Duties) Act, 1916, as amended by any subsequent enactments, shall not be charged on payments for admission to any school entertainment in the case of which the Commissioners of Customs and Excise are satisfied with respect to all the matters other than the age of the performers mentioned in section twelve of the Finance Act, 1916.

Amendment of Acts relating to illicit distillation in Northern Ireland: 1 & 2 Will. 4. c. 55.

**13.—(1)** Any person convicted before a court of summary jurisdiction in Northern Ireland of an offence against section sixteen, seventeen, nineteen, twenty-two, twenty-three, twenty-four, twenty-five, twenty-seven, or twenty-eight of the Illicit Distillation (Ireland) Act, 1831, shall be liable to a penalty not exceeding five hundred pounds, or to imprisonment for a term not exceeding twelve months or to both such penalty and imprisonment.

(2) If any officer of Customs and Excise, or other person having the powers of an officer of Customs and Excise in relation to offences under the Illicit Distillation (Ireland) Act, 1831, has reasonable grounds to believe that any spirit illicitly distilled, or any utensil, vessel, or material used or intended to be used for the illicit distillation of spirits is in or upon any land or other premises, he may enter the premises if need be by force and examine the premises and every part thereof and remove and take away any spirit which he has reasonable grounds to believe to have been illicitly distilled, and any utensil, vessel, or material which he has reasonable ground to believe to have been or to be intended to be used for the illicit distillation of spirits.

(3) Any person who opposes, obstructs, molests, or hinders any officer in the exercise of his powers under this section shall, on summary conviction, be liable to a fine not exceeding one hundred pounds or to imprisonment for a term not exceeding three months, or to both such fine and imprisonment.

(4) For the purpose of any proceedings under the Illicit Distillation (Ireland) Act, 1831, as amended by any other enactment (including this section) or under any such amending enactment, a court of summary jurisdiction shall be constituted of not less than two resident

magistrates, and no justice of the peace not being a resident magistrate shall have jurisdiction to act on the hearing of or in connection with any such proceedings.

(5) In any proceedings under the Illicit Distillation (Ireland) Act, 1831, as amended by any other enactment (including this section), or under any such amending enactment, any chattel or thing, whether fixed to the freehold or not, found in or upon any land or other premises, shall be deemed to have been in the possession of the occupier of the premises unless he proves that he did not know, and could not by the exercise of reasonable diligence have known, that the chattel or thing was in or upon the premises.

(6) References in the Spirits (Ireland) Act, 1854, the Illicit Distillation (Ireland) Act, 1857, and the Revenue (No. 2) Act, 1861, to any member of any rank of the Royal Irish Constabulary shall be construed as references to a member of corresponding rank of the Royal Ulster Constabulary, and the Commissioners of Customs and Excise may, after consultation with the Minister of Home Affairs for Northern Ireland, direct that any powers or duties which may be exercised or performed by a member of the Royal Irish Constabulary under the Illicit Distillation (Ireland) Act, 1831, or any of the enactments aforesaid other than sections nine and ten of the Spirits (Ireland) Act, 1854, may be exercised or performed by a special constable belonging to any class of special constabulary specified in the direction.

17 & 18 Viet.  
c. 89.  
20 & 21 Viet.  
c. 40.  
24 & 25 Viet.  
c. 91.

## PART II.

### INCOME TAX AND INHABITED HOUSE DUTY.

14.—(1) Income tax for the year 1923-24 shall be charged at the rate of four shillings and sixpence, and the rates of super-tax for that year shall, for the purposes of section four of the Income Tax Act, 1918, as amended by the Finance Act, 1920, be the same as those for the year 1922-23.

Income tax  
and super-  
tax for  
1923-24.  
8 & 9 Geo. 5.  
c. 40.

(2) All such enactments relating to income tax and super-tax respectively as were in force with respect to the duties of income tax and super-tax granted for the year 1922-23 shall, subject to any adaptations or modifications contained in any Order in Council made in connection



with the establishment of the Irish Free State, have full force and effect with respect to the duties of income tax and super-tax respectively granted by this Act.

New scale  
of annual  
values for  
purposes of  
inhabited  
house duty.

**15.** The enactments relating to inhabited house duty shall have effect as if for the references therein to annual values of, exceeding, or not exceeding, as the case may be, the several amounts specified in the first column of the following table there were substituted references to annual values of, exceeding, or not exceeding, as the case may be, the several amounts, respectively, specified in the second column of the said table.

Table.

| Existing Annual Values. | Substituted Annual Values. |
|-------------------------|----------------------------|
| 1. Twenty pounds.       | 1. Thirty pounds.          |
| 2. Forty pounds.        | 2. Sixty pounds.           |
| 3. Sixty pounds.        | 3. Ninety pounds.          |

Amendments  
as to income  
tax on  
assurance  
companies.

**16.—(1)** Where the profits of an assurance company in respect of its life assurance business are for the purposes of the Income Tax Acts computed in accordance with the rules applicable to Case I of Schedule D, such part of those profits as belongs or is allocated to, or is reserved for, or expended on behalf of, policy-holders or annuitants shall be excluded in making the computation, but if any profits so excluded as being reserved for policy-holders or annuitants cease at any time to be so reserved and are not allocated to or expended on behalf of policy-holders or annuitants, those profits shall be treated as profits of the company for the year in which they ceased to be so reserved.

(2) Where an assurance company carrying on the business of life assurance claims repayment under section thirty-three of the Income Tax Act, 1918, in respect of sums disbursed as expenses of management there shall, in addition to the amount directed by proviso (b) of subsection (1) of the said section to be deducted from the amount treated as expenses of management, be deducted therefrom the amount of any profits arising from the granting of annuities on human life.

For the purposes of this subsection, profits arising from the granting of annuities on human life shall be computed in accordance with the rules applicable to Case I of Schedule D:

Provided that in making any such computation—

- (a) The provisions of subsection (1) of this section shall apply with the necessary modifications and in particular with the omission therefrom of all references to policy-holders ; and
- (b) No deduction shall be allowed in respect of any expenses of management in respect of which repayment of tax may be claimed under the said section thirty-three ; and
- (c) There may be set off against the profits any loss, to be computed on the same basis as the profits, which has arisen in connection with the granting of annuities on human life in any previous year during which this section was in operation.

(3) Where an assurance company carries on both ordinary life assurance business and industrial life assurance business, the business of each such class shall, for the purposes of the Income Tax Acts, be treated as though it were a separate business, and section thirty-three of the Income Tax Act, 1918, shall apply separately to each such class of business.

(4) For the purpose of removing doubts, it is hereby declared that a mutual assurance company carrying on life assurance business is entitled to relief under section thirty-three of the Income Tax Act, 1918, in the same manner and to the same extent as if the business of the company were the business of a proprietary assurance company, and the provisions of this section shall be construed accordingly.

**17.—(1)** Where any emoluments, pension or annuity are or is payable in Great Britain or Northern Ireland, by or through any public department, officer, or agent of the Government of any part of His Majesty's Dominions, including any territory under His Majesty's protection, but otherwise than out of the public revenue of Great Britain and Northern Ireland or the public revenue of Northern Ireland, to a person who is or has been employed in the service of the Crown outside Great Britain and Northern Ireland in respect of that service, or any pension or annuity is so payable to the widow, child, relative or dependant of any such person as aforesaid, and the person in receipt of the emoluments, pension or annuity is chargeable to income

Income tax on leave pay, &c., to be chargeable under Schedule E.

tax as a person resident in Great Britain or Northern Ireland, the emoluments, pension or annuity shall be chargeable to income tax under Schedule E, and the provisions of the Income Tax Acts relating to the deduction, assessment, and collection of tax in respect of official pay payable at a public office shall apply accordingly with any necessary modifications.

(2) Any deduction on account of income tax made at any time before the passing of this Act which would have been properly made if this section had been in force at the date of the making of the deduction and had referred to the United Kingdom instead of to Great Britain and Northern Ireland or Great Britain or Northern Ireland, shall be deemed to have been properly made under Schedule E.

Provision as to relief from double taxation on profits from the business of shipping.

**18.—**(1) If His Majesty in Council is pleased to declare—

- (a) that any profits or gains arising from the business of shipping which are chargeable to British income tax are also chargeable to income tax payable under the law in force in any foreign state; and
- (b) that arrangements, as specified in the declaration, have been made with the government of that foreign state with a view to the granting of relief in cases where such profits and gains are chargeable both to British income tax and to the income tax payable in the foreign state;

then, unless and until the declaration is revoked by His Majesty in Council, the arrangements specified therein shall, so far as they relate to the relief to be granted from British income tax, have effect as if enacted in this Act, but only if and so long as the arrangements, so far as they relate to the relief to be granted from the income tax payable in the foreign state, have the effect of law in the foreign state.

(2) Any declaration made by His Majesty in Council under this section shall be laid before the Commons House of Parliament as soon as may be after it is made, and, if an address is presented to His Majesty by that House within twenty-one days on which that House has sat next after the declaration is laid before it praying that the declaration may be revoked, His Majesty in Council

may revoke the declaration, and the arrangements specified in the declaration shall thereupon cease to have effect, but without prejudice to the validity of anything previously done thereunder or to the making of a new declaration.

(3) The obligation as to secrecy imposed by any enactment with regard to income tax shall not prevent the disclosure to any authorised officer of the foreign state mentioned in the declaration of such facts as may be necessary to enable relief to be duly given in accordance with the arrangements specified in the declaration.

(4) In this section the expression "business of shipping" means the business carried on by an owner of ships, and for the purposes of this definition the expression "owner" includes any charterer.

**19.**—(1) Subject to the provisions of this section, income arising from any office or employment to which this section applies shall be exempt from income tax (including super-tax), and no account shall be taken of any such income in estimating the amount of income for any of the purposes of the Income Tax Acts for the year 1923–24 or any succeeding year of assessment.

Exemption from income tax of salaries of High Commissioners, Agents-General and their staffs.

(2) The offices and employments to which this section applies are the following, that is to say :—

The office of High Commissioner and the office of Agent-General :

The employment in Great Britain or Northern Ireland as a member of the personal staff of any High Commissioner or Agent-General, or as an official agent for British India or any self-governing dominion, for any state or province of a self-governing dominion, or for any self-governing colony of a person certified by the High Commissioner or Agent-General, as the case may be, to be ordinarily resident outside Great Britain and Northern Ireland and to be resident in Great Britain or Northern Ireland solely for the purpose of the performance of his duties as such member or official agent.

(3) Nothing in this section shall operate to grant relief from income tax (including super-tax) in respect of income arising from the employment of any person in

any trade, business, or other undertaking carried on for the purposes of profit.

(4) In this section—

The expression “High Commissioner” means the High Commissioner for British India or for any of the self-governing dominions;

The expression “Agent-General” means the Agent-General for any state or province of a self-governing dominion or for any self-governing colony:

The expression “self-governing dominion” means the Dominion of Canada, the Commonwealth of Australia, the Dominion of New Zealand, the Union of South Africa, the Irish Free State or Newfoundland:

The expression “self-governing colony” means any colony certified by a Secretary of State to be a self-governing colony.

Relief from  
super-tax in  
respect of  
establish-  
ment of  
Irish Free  
State.

13 Geo. 5.  
c. 2.

20.—(1) Notwithstanding anything in section five of the Income Tax Act, 1918, the Special Commissioners shall, on an application made in that behalf by any person chargeable with super-tax for the year 1923–24, make such an adjustment, by repayment of tax or otherwise, as will reduce the amount of super-tax payable by that person for that year to the amount which would have been payable by him if the Irish Free State had been established on the sixth day of April, nineteen hundred and twenty-two, and if in relation to income tax for the year 1922–23 the Income Tax Acts had had effect subject to the adaptations and modifications thereof for which provision is made by the Orders in Council made under the Irish Free State (Consequential Provisions) Act, 1922 (Session 2), in connection with the establishment of the Irish Free State.

(2) The provisions of the Income Tax Acts and of any regulations made thereunder with respect to appeals against assessments to super-tax (including the provisions relating to the statement of a case for the opinion of the High Court on a point of law) shall apply in the case of decisions given by the Special Commissioners on applications made under this section as they apply in the case of assessments to super-tax.

**21.** Subject as hereinafter provided, section thirty-seven of the Income Tax Act, 1918 (which grants exemption in respect of charities), shall, in the case of rents and profits of any lands, tenements, hereditaments, or heritages belonging to any hospital, public school, or almshouse in the Irish Free State, or vested in trustees in the Irish Free State for charitable purposes, and in the case of a body of persons or trust established in the Irish Free State for charitable purposes only, and in the case of income which according to rules or regulations established by Act of Parliament, charter, decree, deed of trust or will in the Irish Free State, is applicable to charitable purposes only, or which, in the names of trustees in the Irish Free State, is applicable solely towards the repairs of any cathedral, college, church or chapel, or any building used solely for the purpose of divine worship, apply, as respects income tax chargeable for the year 1923-24, as if the Irish Free State had not been constituted :

Exemption  
for charities  
in Irish Free  
State in  
respect of  
tax for  
1923-24.

Provided that this section shall not apply except where the lands, tenements, hereditaments, or heritages belonged to the hospital, public school, or almshouse, or were vested in the trustees, on the fifth day of April, nineteen hundred and twenty-three, or the interest, annuities, dividends, shares of annuities, yearly interest or other annual payment arise from investments which were held by the body of persons, trust, or trustees, or were subject to rules or regulations as aforesaid, on the fifth day of April, nineteen hundred and twenty-three.

**22.** Subsections (5) and (6) of section thirty-nine of the Income Tax Act, 1918 (which give exemption from income tax in respect of income derived from the funds of approved societies and other authorities under the Acts relating to National Health Insurance), and section thirty-three of the Finance Act, 1921 (which grants exemption from income tax for funds of special and supplementary schemes under the Unemployment Insurance Act, 1920), shall notwithstanding the constitution of the Irish Free State, have effect so far as relates to income tax for the year 1923-24, as though the references therein to enactments relating to National Health Insurance and to the Unemployment Insurance Act, 1920, respectively, included references to the enactments in force in the Irish Free State relating to National Health Insurance and to

Exemption  
from income  
tax for  
1923-24 of  
funds of  
National  
Health  
Insurance  
Authorities  
and certain  
unemploy-  
ment funds  
in the Irish  
Free State.  
11 & 12  
Geo. 5. c. 32.  
10 & 11  
Geo. 5. c. 30.

Unemployment Insurance, respectively, and as though the reference in the said subsection (5) to the Irish Insurance Commissioners included a reference to the authority charged with the administration in the Irish Free State of the enactments relating to National Health Insurance and to the body of trustees constituted for the purposes of the Government of Ireland (Adaptation of Health Insurance Acts) Order, 1922.

Amend-  
ments as to  
fines and  
penalties.

**23.—**(1) Proceedings for the recovery of any fine or penalty incurred under the Income Tax Acts in connection with or in relation to the income tax (including super-tax) charged for the year 1920–21 or any subsequent year of assessment may be commenced at any time within six years next after the date on which it was incurred.

(2) The amount of the penalty which may be recovered in proceedings in any court under section one hundred and seven of the Income Tax Act, 1918 (which imposes penalties for neglect to deliver lists, declarations, and statements), shall be a sum of twenty pounds and treble the amount of the tax with which the offender ought to be charged under that Act instead of a sum of fifty pounds.

(3) The amount of the penalty recoverable under subsection (2) of section one hundred and thirty-two of the Income Tax Act, 1918 (which imposes a penalty on a person who aids, abets, assists, incites, or induces another person to make or deliver a false or fraudulent account, statement, or declaration), or under subsection (2) of section thirty of that Act (which imposes a penalty on a person who aids or abets any person in committing an offence under that section), shall be increased to five hundred pounds.

Relief in  
respect of  
error or  
mistake.

**24.—**(1) If any person who has paid tax charged under an assessment to income tax made for any year under Schedule D, or according to the Rules applicable to that Schedule, alleges that the assessment was excessive by reason of some error or mistake in the return or statement made by him for the purposes of the assessment, he may, at any time not later than three years after the end of the year of assessment within which the assessment was made, make an application in writing to the Commissioners of Inland Revenue for relief.

(2) On receiving any such application the Commissioners of Inland Revenue shall inquire into the matter and shall, subject to the provisions of this section, give by way of repayment such relief (including any consequential relief from super-tax) in respect of the error or mistake as is reasonable and just :

Provided that no relief shall be given under this section in respect of an error or mistake as to the basis on which the liability of the applicant ought to have been computed where the return or statement was in fact made on the basis or in accordance with the practice generally prevailing at the time when the return or statement was made.

(3) In determining any application under this section the Commissioners of Inland Revenue shall have regard to all the relevant circumstances of the case, and in particular shall consider whether the granting of relief would result in the exclusion from charge to income tax or super-tax of any part of the profits or income of the applicant, and for this purpose the Commissioners may take into consideration the liability of the applicant and assessments made on him in respect of other years.

(4) Any person who is aggrieved by the determination of the Commissioners of Inland Revenue on an application made by him under this section may, on giving notice in writing to those Commissioners within twenty-one days after the notification to him of their determination, appeal to the Special Commissioners.

(5) The Special Commissioners shall thereupon hear and determine the appeal in accordance with the principles to be followed by the Commissioners of Inland Revenue in determining applications under this section and, subject thereto, in like manner as in the case of an appeal to them against an assessment under Schedule D, and the provisions of the Income Tax Acts relating to such an appeal (including the provisions relating to the statement of a case for the opinion of the High Court on a point of law) shall apply accordingly with any necessary modifications :

Provided that neither the appellant nor the Commissioners of Inland Revenue shall be entitled to require a case to be stated for the opinion of the High Court otherwise than on a point of law arising in connection with the computation of profits or income.



Procedure  
on appeals  
before  
General  
Commis-  
sioners.

**25.** Paragraph (a) of subsection (3) of section one hundred and thirty-seven of the Income Tax Act, 1918, shall be read and construed as if for the word "may" wherever the same occurs therein were substituted the word "shall" and as if for the words "or may" there were substituted the words "and shall."

Provisions  
as to appeals  
against  
Schedule A,  
Schedule B,  
and inha-  
bited house  
duty assess-  
ments.

**26.—**(1) Where by virtue of any enactment the annual value of any property which has been adopted for the purpose either of income tax under Schedule A, or of income tax under Schedule B, or of inhabited house duty for any year is to be taken as the annual value of that property for the same purpose for any subsequent year, any occupier of any property, or any owner or other person in receipt of the rent of any property, who is aggrieved by the amount so to be taken as the annual value of the property shall be entitled to appeal to the General Commissioners against an assessment to income tax under Schedule A or under Schedule B, or to inhabited house duty in respect of that property for that subsequent year, and the General Commissioners shall hear and determine the appeal and confirm or amend the assessment, as the case may require, in the same manner as if the annual value of the property so to be taken were the annual value determined for that subsequent year, in accordance with the provisions of the Income Tax Acts or of the Acts relating to inhabited house duty, as the case may be.

(2) On any appeal against an assessment of annual value for the purposes of income tax under Schedule A or of inhabited house duty, or against an assessment to income tax under Schedule A, or under Schedule B, or to inhabited house duty, the General Commissioners shall permit any agent appointed by the appellant to plead before them on his behalf.

Right of  
appeal in  
respect of  
Schedule A  
values and  
assessments  
for 1923-24.

**27.—**(1) Without prejudice to any right of appeal under the Income Tax Acts or the Acts relating to inhabited house duty, any person aggrieved by the amount of the annual value of any property assessed under section thirty-two of the Finance Act, 1922, shall be entitled to appeal to the General Commissioners against the assessment of annual value if he gives to the surveyor notice in writing of his intention to appeal, not later than the thirty-first day of August, nineteen hundred and twenty-three, or, where the notice of assessment was not given

before the first day of July, nineteen hundred and twenty-three, not later than the thirtieth day of September, nineteen hundred and twenty-three.

(2) Any occupier of any property or any owner or other person in receipt of the rent of any property, although not the occupier thereof, who is aggrieved by the amount of the annual value of the property assessed under section thirty-two of the Finance Act, 1922, shall be entitled, if a notification of the value so assessed was not delivered to him, to appeal against an assessment to income tax under Schedule A or to inhabited house duty in respect of that property for the year 1923-24, if he gives to the surveyor not later than the fifth day of April, nineteen hundred and twenty-five, notice in writing of his intention to appeal, and on any such appeal the Commissioners may confirm or amend the assessment as the case may require, and the provisions of the Income Tax Acts relating to appeals against assessments to income tax under Schedule A, and the relevant provisions of the Acts relating to inhabited house duty shall, with any necessary modifications, apply respectively to appeals under this subsection :

Provided that nothing in this subsection shall affect the collection or recovery of any tax or duty assessed and charged, and, where any assessment is reduced on an appeal under this subsection, any tax or duty overpaid shall be repaid.

**28.**—(1) The following paragraphs shall be substituted for paragraphs (i) and (ii) of paragraph (1) (b) of Rule 7 of No. V. in Schedule A (which relates to the allowance for repairs) :—

Amendment  
as to allow-  
ance for  
repairs.

“(i) Where the owner is occupier or chargeable as landlord, or where a tenant is occupier and the landlord has undertaken to bear the cost of repairs, by a sum equal to the amount of the authorised reduction hereinafter mentioned ; and

“(ii) Where a tenant is occupier and has undertaken to bear the cost of repairs, by such a sum, not exceeding the amount of the authorised reduction, as may be necessary to reduce the amount of the assessment to the amount of rent payable by him :

“Provided that the amount by which an assessment is reduced shall not, in the case of an assessment exceeding the amount of forty pounds, be less than it would have been if the amount of the assessment had been forty pounds.”

(2) The following paragraph shall be inserted at the end of the said Rule 7 :—

“(3) The authorised reduction for the purposes of this Rule shall be—

- |                                                                                                      |                                                                                                                               |
|------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|
| “(a) Where the amount of the assessment does not exceed forty pounds.                                | A sum equal to one-fourth part of the amount of the assessment.                                                               |
| “(b) Where the amount of the assessment exceeds forty pounds but does not exceed one hundred pounds. | A sum equal to one-fifth part of the amount of the assessment.                                                                |
| “(c) Where the amount of the assessment exceeds one hundred pounds.                                  | Twenty pounds, together with a sum equal to one-sixth part of the amount by which the assessment exceeds one hundred pounds.” |

(3) Paragraph (2) of the said Rule 7 shall have effect as if after the words “one-eighth” there were inserted the words “below the rent” and as if for the words “is more than one-sixth below the rent” there were substituted the words “is less than the rent by a sum greater than the authorised reduction which would be allowable if the assessment were on the amount of the rent,” and in paragraph (1) of Rule 8 of the said No. V. in Schedule A for the reference to one-sixth part of the value there shall be substituted a reference to the authorised reduction.

(4) Nothing in this section shall affect the validity of any notice of assessment of annual value under section thirty-two of the Finance Act, 1922, given before the commencement of this Act, but the occupier of any property, or the owner or other person in receipt of the rent of any property, who is aggrieved by the amount by which the assessment has been reduced for the purposes

of collection under the provisions of Rule 7 of No. V. in Schedule A, as amended by this section, shall be entitled to appeal on the matter if he gives to the surveyor, not later than the fifth day of April, nineteen hundred and twenty-five, notice in writing of his intention to appeal, and on any such appeal the Commissioners shall make such amendment (if any) in relation to the reduction as the case may require, and the provisions of the Income Tax Acts relating to appeals against assessments to income tax under Schedule A shall, with any necessary modifications, apply to appeals under this subsection :

Provided that nothing in this subsection shall affect the collection or recovery of any tax assessed and charged, and, where the amount of any reduction is increased on an appeal under this subsection, any tax overpaid shall be repaid.

(5) This section shall, unless Parliament otherwise determines, cease to have effect on the fifth day of April, nineteen hundred and twenty-eight.

**29.**—(1) Subject to the provisions of this section, an assessment, an additional first assessment or a surcharge in respect of income tax chargeable for the year 1920–21 or any subsequent year of assessment may be amended or made, as the case may be, under section one hundred and twenty-five of the Income Tax Act, 1918, or section one hundred and twenty-six of that Act, at any time not later than six years after the end of the year to which the assessment relates or the year for which the person liable to income tax ought to have been charged.

Time within which assessments may be amended, additional assessments made, &c.

(2) Subject to the provisions of this section, the time during which an assessment to super-tax may be amended, or an assessment or additional assessment to super-tax made under subsection (7) of section seven of the Income Tax Act, 1918, shall, in the case of assessments in respect of super-tax chargeable for the year 1920–21 or any subsequent year of assessment, be extended so as to include any time within six years after the end of the year of assessment.

(3) For the purposes of the charge of income tax or super-tax on the executors or administrators of a deceased person in respect of the profits or gains or income which arose or accrued to him before his death, the time allowed by the foregoing provisions of this section shall not extend

beyond the end of the third year next following the year of assessment in which the deceased person died.

Time within which claims for repayment may be made.

**30.**—(1) Section forty-one of the Income Tax Act, 1918, and Rule 5 of No. V of Schedule A (which fix the period within which certain claims for repayment of income tax may be made) shall, so far as relates to claims for repayment in respect of income tax charged for the year 1920–21 or for any subsequent year of assessment, have effect as though a period of six years after the expiration of the year of assessment were substituted for a period of three years after the expiration of the year of assessment.

(2) Section twenty-five of the Income Tax Act, 1918 (which grants relief from tax in respect of income accumulated under trusts) shall, in the case of such a contingency as is referred to in that section happening in the year 1920–21 or in any subsequent year of assessment, have effect as though a period of six years after the end of the year of assessment in which the contingency happens were substituted for a period of three years after the end of the year of assessment in which the contingency happens.

(3) Any provision of the Income Tax Acts which authorises a claim for repayment of income tax to be made at the end of any year of assessment or within a specified period of less than one year after the end of any year of assessment shall be amended so as to authorise the making of the claim within a period of one year after the end of the year of assessment.

Determination of annual values for purposes of income tax under Schedule B for 1923–24.

**31.**—(1) In ascertaining in accordance with the Rules of Schedule B the annual values of lands, tenements, hereditaments and heritages for the purpose of assessments to income tax under Schedule B for the year 1923–24, those values shall be estimated and determined as for the year 1922–23, and assessments to tax shall be made accordingly :

Provided that, if any person who has been assessed to income tax under Schedule B for the year 1923–24 in respect of the occupation of any land, tenement, hereditament or heritage proves to the satisfaction of the General Commissioners that the annual value of that land, tenement, hereditament or heritage for the year 1923–24 is less than the annual value on which the assessment was based, he shall be entitled to have the assessment

reduced to an amount based on the annual value for the year 1923–24 as estimated in accordance with the rules applicable to Schedule B.

(2) This section shall not apply as respects Scotland or Northern Ireland, or as respects lands, tenements, hereditaments and heritages in the administrative county of London with respect to which the valuation list under the Valuation (Metropolis) Act, 1869, is by that Act made conclusive for the purposes of income tax. 32 & 33 Vict.  
c. 67.

### PART III.

#### NATIONAL DEBT.

**32.**—(1) The provisions contained in the Sinking Fund Act, 1875, and the provisions contained in any subsequent Acts amending that Act, with respect to the permanent annual charge for the national debt and the new sinking fund shall cease to have effect, and in lieu thereof the following provisions of this section shall have effect. New sinking fund  
and annual  
charges for  
national  
debt.  
38 & 39 Vict.  
c. 45.

(2) There shall be issued out of the Consolidated Fund or the growing produce thereof at such times and in such manner as the Treasury may, from time to time, direct, so however that the whole amount of the sum to be issued in respect of any financial year shall be issued in that financial year, the sums following, that is to say :—

In the financial year ending on the thirty-first day of March, nineteen hundred and twenty-four, the sum of forty million pounds :

In the financial year ending on the thirty-first day of March, nineteen hundred and twenty-five, the sum of forty-five million pounds :

In the financial year ending on the thirty-first day of March, nineteen hundred and twenty-six, and in every subsequent financial year, unless and until Parliament otherwise determines, the sum of fifty million pounds.

(3) The sum to be issued as aforesaid in each financial year (which shall be called “the new sinking fund (1923)”) shall be applied within nine months after the date of the issue thereof in the purchasing, redeeming, or paying off any description of debt charged on the

29 & 30 Vict.  
c. 39.

Consolidated Fund (including such part as represents capital of the terminable annuities which would, if this Act had not passed, have been payable out of the said permanent annual charge), other than advances made by the Bank of England or the Bank of Ireland under section twelve of the Exchequer and Audit Act, 1866, or loans raised under any Act to meet ways and means.

(4) The new sinking fund (1923) except such part thereof as, in the opinion of the Treasury, is from time to time required for meeting charges in connection with the redemption of loans repayable outside the United Kingdom, shall be issued to the National Debt Commissioners for the purpose of being applied by them in manner provided by the foregoing provisions of this section, and the provisions of section seven of the Sinking Fund Act, 1875 (which relates to accounts of the new and old sinking funds), shall apply in relation to the new sinking fund established by this section as they apply in relation to the new sinking fund established by that Act, and all securities purchased or redeemed in pursuance of this section, except four pounds per cent. Victory Bonds and four pounds per cent. Funding Loan, 1960-90, purchased by the National Debt Commissioners, shall be cancelled forthwith in such manner as the Treasury may from time to time direct.

(5) Such sums as are required for meeting the annual charges in respect of or in connection with the national debt (including such part of the said terminable annuities as represents interest) which would, if this Act had not passed, have been payable out of the said permanent annual charge, shall be issued out of the Consolidated Fund or the growing produce thereof at such times and in such manner as the Treasury may from time to time direct.

9 & 10 Geo. 5.  
c. 37. (6) Any sums paid in pursuance of section three of the War Loan Act, 1919, to the National Debt Commissioners for the purpose of the purchase by those Commissioners of four pounds per cent. Victory Bonds or four pounds per cent. Funding Loan, 1960-90, shall, for the purposes of this section, be deemed to be sums applied in purchasing, redeeming or paying off debt.

Amendment  
as to sums  
raised by  
national

**33.**—(1) After the commencement of this Act no sums shall be issued to the National Debt Commissioners in respect of sums raised by the issue of national savings

certificates under section fifty-nine of the Finance Act, 1920, and all sums so raised shall be issued and applied in reduction of debt in manner provided by that section. savings certificates.

(2) The power of the Treasury under section five of the War Loan (Supplemental Provisions) Act, 1915, as amended by section two of the War Loan Act, 1918, to make regulations with respect to the manner in which and the conditions under which money authorised to be raised under any enactments authorising the raising of money for the purpose of the late war may be raised through the Post Office, shall extend to money raised by the issue of national savings certificates under section fifty-nine of the Finance Act, 1920, or under any subsequent enactment. 5 & 6 Geo. 5.  
s. 93.  
8 & 9 Geo. 5.  
c. 25.

34. Paragraph (c) of subsection (1) of section sixteen of the Finance Act, 1911 (which directs the issue out of the old sinking fund for the financial year ending the thirty-first day of March, nineteen hundred and eleven, of sums not exceeding in the whole two hundred and fifty thousand pounds), is hereby repealed, and the whole of the said sum of two hundred and fifty thousand pounds shall for the purposes of the said section be deemed to have been issued and repaid. Amendment  
of s. 16 of  
1 & 2 Geo. 5.  
c. 48.

35. Section fifty-eight of the Finance Act, 1920 (which provides that amounts applied out of revenue in paying off debt are to be deemed to be expenditure within the meaning of sections four and five of the Sinking Fund Act, 1875), shall apply in relation to the current financial year as it applied in relation to the financial year ending on the thirty-first day of March, nineteen hundred and twenty-one. Continuance  
during  
current  
financial  
year of s. 58  
of 10 & 11  
Geo. 5. c. 18.

#### PART IV.

##### MISCELLANEOUS AND GENERAL.

36.—(1) Part V. of the Finance Act, 1920 (which imposes corporation profits tax), shall have effect as if two-and-a-half per cent. of the taxable profits were substituted as the rate of duty for five per cent. of those profits for any accounting period beginning on or after the first day of July, nineteen hundred and twenty-three, and, in the case of an accounting period which Reduction of  
corporation  
profits tax. .



began before but ends on or after that date, as if two-and-a-half per cent. were substituted for five per cent. as respects so much of the profits as may under this section be apportioned to the part of the period beginning on the date aforesaid.

(2) Proviso (b) to subsection (1) of section fifty-two of the Finance Act, 1920, shall have effect in relation to profits arising in an accounting period beginning on or after the first day of July, nineteen hundred and twenty-three, as though a reference to five per cent. of the balance of the profits of the accounting period were substituted for the reference to ten per cent. of the balance of the profits of the accounting period, and in the case of an accounting period of which part is before and part after the beginning of the first day of July, nineteen hundred and twenty-three, as though a reference to five per cent. were substituted for the reference to ten per cent. as respects so much of the balance of the profits as may, under the provisions of this section, be apportioned to the later part of the period.

(3) Where part of an accounting period is before and part after the beginning of the first day of July, nineteen hundred and twenty-three, the profits arising in that period, or the balance of those profits, as the case may require, shall be apportioned between the time up to and the time after the beginning of that day in proportion to the number of months or fractions of months before and after the beginning of that day respectively.

(4) An assessment (including an additional assessment) to corporation profits tax in respect of the profits of any accounting period ending on any date after the commencement of this Act, or on any date not more than three years before the commencement of this Act, may be made at any time within six years after the end of the accounting period.

Provision as to inclusion of property outside Great Britain in property passing on the death of a deceased person.

**37.—**(1) Where property situate out of Great Britain is bequeathed to or settled on different persons in succession and legacy duty or succession duty has, whether before or after the commencement of this Act, been paid thereon, such duty shall, for the purposes of subsection (2) of section two of the Finance Act, 1894 (which provides that property situate out of Great Britain shall be deemed to be included in property passing on the death of the

deceased only if legacy or succession duty is payable in respect thereof, or would be so payable but for the relationship of the person to whom it passes), be deemed to be payable in respect of the property on the death of each of those persons in succession, notwithstanding that the whole amount of the duty was paid on one death only as in the case of a legacy to one person. 57 & 58 Vict. c. 30.

(2) This section shall apply in the case of property passing on the death of a person who dies on or after the sixteenth day of April, nineteen hundred and twenty-three.

**38.** As from the commencement of this Act, such parts of section four of the Finance (1909–10) Act, 1910, as are not repealed by section fifty-seven of the Finance Act, 1920, shall be repealed. Repeal of  
s. 4 of Finance  
(1909–10)  
Act, 1910.  
10 Edw. 7  
& 1 Geo. 5. c. 8.

**39.**—(1) Part I. of this Act so far as it relates to duties of customs shall be construed together with the Customs (Consolidation) Act, 1876, and any enactments amending that Act, and so far as it relates to duties of excise, shall be construed together with the Acts which relate to the duties of excise and the management of those duties. Construc-  
tion, short  
title, appli-  
cation, and  
repeal.

Part II. of this Act shall be construed together with the Income Tax Acts and the Acts relating to inhabited house duty.

(2) This Act may be cited as the Finance Act, 1923.

(3) Such of the provisions of this Act as relate to matters with respect to which the Parliament of Northern Ireland has power to make laws shall not extend to Northern Ireland.

(4) The enactments set out in the Schedule to this Act are hereby repealed to the extent mentioned in the third column of that schedule.

## SCHEDULE.

### ENACTMENTS REPEALED.

| Session and Chapter.      | Short Title.                                 | Extent of Repeal.                                                                                                                                                                      |
|---------------------------|----------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 38 & 39 Vict.<br>c. 45.   | The Sinking Fund Act, 1875.                  | Sections one and three.                                                                                                                                                                |
| 50 & 51 Vict.<br>c. 16.   | The National Debt and Local Loans Act, 1887. | Section two.                                                                                                                                                                           |
| 1 & 2 Geo. 5.<br>c. 48.   | The Finance Act, 1911 -                      | In subsection (1) of section sixteen the words from "and (c) to" to the end of the subsection and in subsection (2) of the said section the words from "the Treasury may" to "pounds." |
| 6 & 7 Geo. 5.<br>c. 11.   | The Finance (New Duties) Act, 1916.          | Section five, and in section six the words "and cider" and the words "or cider," wherever those words occur.                                                                           |
| 6 & 7 Geo. 5.<br>c. 24.   | The Finance Act, 1916 -                      | Section eight, and in section nine the words "and by" "persons who sell cider" "or perry," and in section twelve the words "who are under the age of" "sixteen years and."             |
| 8 & 9 Geo. 5.<br>c. 40.   | The Income Tax Act, 1918.                    | Paragraph (b) of subsection (3) of section one hundred and thirty-seven.                                                                                                               |
| 10 & 11 Geo. 5.<br>c. 18. | The Finance Act, 1920 -                      | In subsection (1) of section fifty-nine the words "invested or" and subsection (4) of the said section.                                                                                |
| 11 & 12 Geo. 5.<br>c. 32. | The Finance Act, 1921 -                      | Section seven, and paragraph (2) of section eight.                                                                                                                                     |
| 12 & 13 Geo. 5.<br>c. 17. | The Finance Act, 1922 -                      | Subsections (1) and (3) of section thirteen, and section twenty-four.                                                                                                                  |